

ETHENA

\$ENA

Crypto's Third-Largest Dollar — A Genuinely Novel Yield Engine That Has Already Been Tested by a Real Depeg

\$0.1373–\$0.1526 24H PRICE RANGE	\$1.34B MARKET CAP	\$2.06B FDV	9.82B CIRC. SUPPLY	#50 MARKET RANK
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■ UNRESOLVED ITEMS TO WATCH

On October 10–11, 2025, USDe depegged sharply during a market-wide flash crash — to roughly \$0.97 per Ethena's own data, and as low as \$0.65 on at least one centralized exchange (Binance) — before recovering within hours; USDe's total supply and Ethena's TVL subsequently fell by more than half, from a peak near \$14.7B to roughly \$6.4–\$6.6B, amid \$8.3B in net redemptions (see Section 08 and Section 10). Germany's BaFin ordered a halt to USDe sales by Ethena GmbH in April 2025, treating it as an unregistered security (see Section 11). ENA trades roughly 89–94% below its December 2024 all-time high of \$1.516 (see Section 08). A governance-approved “fee switch” that would route protocol revenue to ENA stakers has met its activation criteria since September 2025 but had not been formally activated as of the most recent sources reviewed (see Section 07).

Blockchain Layer	Built on Ethereum; USDe and ENA are also bridged/available across Solana, BNB Chain, and other chains via integrations
Protocol Type	Synthetic-dollar issuer — USDe (a delta-neutral, derivatives-hedged digital dollar) and sUSDe (its staked, yield-bearing form), governed by the ENA token
Founded	Founded 2023 by Guy Young, a former investor at Cerberus Capital Management, with early backing from Arthur Hayes's family office, Maelstrom
Total Raised	\$166.50M at a \$300.00M valuation, led by Dragonfly, with Coinbase Ventures, Polychain Capital, Pantera Capital, YZi Labs, and Galaxy
Website	ethena.fi ; documentation at docs.ethena.fi

Research by NBZ / NASIR

Data as of August 17, 2026

01 PROJECT OVERVIEW

Field	Detail
Project Name	Ethena
Ticker	\$ENA
Blockchain Layer	Built on Ethereum; USDe and ENA are also available across Solana, BNB Chain, and other chains via bridges and integrations
Protocol Type	Synthetic-dollar issuer: USDe (a delta-neutral, derivatives-hedged digital dollar) and sUSDe (its staked, yield-bearing form); ENA is the governance token
Founded	2023, by Guy Young, a former investor at Cerberus Capital Management; early backing from Arthur Hayes's family office, Maelstrom
HQ	Ethena Labs; a separate German entity, Ethena GmbH, has been subject to specific regulatory action (see Section 11)
TGE Date	USDe launched on Ethereum mainnet in February 2024 and crossed \$1B in supply within 10 weeks — faster than any stablecoin before it; ENA launched in April 2024
Contract Address	Not independently verified from the materials provided — unconfirmed
Website	ethena.fi; documentation at docs.ethena.fi
Total Raised	\$166.50M at a \$300.00M valuation, led by Dragonfly, with Coinbase Ventures, Polychain Capital, Pantera Capital, YZi Labs (formerly Binance Labs), and Galaxy
Circulating Supply	9.82B ENA (~65.5% of max supply) as of the in-app snapshot reviewed
Max Supply	15,000,000,000 ENA (fixed)
Current Focus	Recovering USDe supply and TVL following the October 2025 depeg and redemption wave, activating the governance-approved fee switch, and expanding institutional integrations (Coinbase, BlackRock BUIDL, Anchorage Digital)

Ethena issues USDe, a “synthetic dollar” that maintains its approximate \$1 peg through a fundamentally different mechanism than any other major stablecoin in the industry. Rather than holding cash and Treasury-bill reserves (like USDT and USDC) or requiring users to over-collateralize crypto-backed loans (like Sky/MakerDAO’s DAI/USDS), Ethena pairs crypto collateral — staked ETH, BTC, or other liquid assets — with an equal-and-opposite short position on perpetual futures markets. Because perpetual futures traders who are net long typically pay a recurring “funding rate” to traders who are net short, Ethena’s short hedge both keeps the combined position’s dollar value stable regardless of crypto price swings and, in most market conditions, generates a real yield stream. That yield flows to sUSDe, USDe’s staked form, often at rates dramatically above what fiat-backed stablecoins or DeFi lending markets pay.

This structural innovation let Ethena grow explosively: USDe’s supply crossed \$1B within 10 weeks of its February 2024 launch (faster than any prior stablecoin), and by 2025 USDe had become crypto’s third-largest dollar-denominated asset, behind only USDT and USDC, at a peak supply above \$14 billion. The problem Ethena says it solves is capturing a specific, previously hard-to-access source of yield — the structural imbalance in perpetual futures markets, where leveraged long demand consistently outpaces short demand — and packaging it into a liquid, dollar-denominated, DeFi-composable instrument. This is also, as covered extensively throughout this report, a genuinely novel risk category distinct from either fiat-backed or crypto-overcollateralized stablecoin designs, one that has already been tested by real market stress rather than remaining purely theoretical.

02 TEAM & FOUNDERS

Name	Role	Background
Guy Young	Founder	Former investor at Cerberus Capital Management, a large traditional private-equity and credit investment firm; founded Ethena in 2023 with early backing from Arthur Hayes's family office, Maelstrom
Zach Rosenberg	General Counsel	Named with a public photo and LinkedIn profile; leads legal strategy for a protocol that has already faced direct regulatory action (Germany's BaFin, see Section 11)
Conor Ryder	Head of Research	Named with a public photo, LinkedIn, and X profile; publicly visible as a source for Ethena's research and market commentary
Elliot Parker	Head of Product Management	Named with a public photo, LinkedIn, X, and GitHub profile
Brian Grosso	Team member (role partially visible)	Listed on the project's public team page; further detail not captured in the sources reviewed

Ethena's team transparency is a genuine strength among the projects covered in this research series: founder Guy Young has a real, independently traceable professional background in traditional finance (Cerberus Capital Management, a well-known institutional investment firm), and the presence of a named, photo-identified General Counsel from the earliest stages of the project reflects a level of institutional and legal seriousness that few crypto-native teams demonstrate this early — a meaningful signal given that Ethena's product inherently touches securities-law-adjacent questions (a yield-bearing dollar instrument) that most token projects do not have to navigate as directly.

That legal seriousness has been tested directly: Germany's financial regulator BaFin ordered Ethena GmbH to halt USDe sales in April 2025, treating the product as an unregistered security under German law (see Section 11). The team's response — continuing to operate USDe internationally while addressing the specific German regulatory action through its GmbH entity, rather than abandoning the product or ignoring the order — suggests a reasonably mature, compliance-aware approach to an inherently novel legal category, even though the underlying regulatory question (how synthetic, yield-bearing dollar instruments should be classified) remains unresolved across multiple jurisdictions.

03

TECHNOLOGY & ARCHITECTURE

Component	Description
Delta-Neutral Hedging	USDe's core stability mechanism: each dollar of crypto collateral (ETH, stETH, BTC) is paired with an equal-and-opposite short perpetual futures position, so price moves in the collateral are offset by the hedge
Minting/Redemption	Approved institutional counterparties deposit collateral into Ethena's vault contracts and mint USDe 1:1; redemption reverses the process; a smart contract-based on-chain layer sits atop an off-chain hedge-execution engine
sUSDe (Staked USDe)	USDe holders stake into sUSDe to receive yield from three sources: perpetual futures funding rates, staking rewards on LST collateral (e.g., stETH), and returns on liquid-stables backing
Off-Exchange Settlement (OES)	Collateral is held with institutional custodians rather than directly on exchanges, intended to reduce counterparty risk from any single trading venue while still allowing hedges to be executed on those venues
Reserve Fund	A dedicated buffer (reported around 1.18% of TVL) intended to absorb periods when combined funding-rate, staking, and liquid-stable revenue turns negative, protecting USDe's spot backing
Dynamic Collateral Allocation	During periods of low or negative funding, Ethena shifts a larger share of USDe's backing into liquid stablecoins earning approximately the U.S. Treasury rate rather than maintaining full basis-trade exposure
USDtb	A separate, fiat/Treasury-backed stablecoin (reserves largely in BlackRock's tokenized BUIDL fund) that complements USDe with a more traditional, cash-equivalent reserve model
Security Audits	Ethena's smart contracts have undergone multiple third-party audits per company materials; the October 2025 depeg was explicitly attributed to market-structure and exchange-liquidity dynamics rather than a smart contract exploit or undercollateralization

In plain terms, when someone deposits ETH to mint USDe, Ethena doesn't just hold that ETH and hope its price stays stable — it simultaneously opens a short position of equivalent size on a derivatives exchange. If ETH's price falls, the deposited collateral loses value, but the short position gains an equivalent amount, and vice versa; the combination is designed to hold roughly constant in dollar terms regardless of which direction ETH moves. The yield sUSDe holders receive comes primarily from funding rates: because more traders tend to bet on crypto prices rising (going long) than falling (going short), long traders typically pay periodic funding payments to short traders on perpetual futures exchanges — and Ethena's short hedge collects those payments.

This is a genuinely different risk architecture than either fiat-backed or crypto-overcollateralized stablecoins, and it is important to understand precisely how it failed, briefly, in October 2025: independent analysis (CoinMetrics, ChainArgos) confirms that no smart contract exploit and no undercollateralization occurred — Ethena's hedges actually profited as prices fell during the crash, since short positions gain value in a downturn, and funding rates across major venues remained positive throughout the event. Instead, the depeg on at least one exchange (Binance, where USDe briefly traded near \$0.65) reflected localized exchange-liquidity and price-discovery breakdown during an extreme, rapid deleveraging event — a market-structure and exchange-concentration risk distinct from the core hedging mechanism itself failing. This distinction matters: it suggests Ethena's fundamental design held up under real stress, even as the incident exposed a genuine, separate vulnerability around venue diversification and exchange-price reliability during extreme volatility.

04

USE CASES & REAL-WORLD APPLICATIONS

Use Case	Description	Status
Yield-Bearing Dollar Holdings (sUSDe)	Users hold sUSDe as a dollar-denominated savings instrument, earning yield from funding rates and staking rewards without traditional banking exposure	Live
DeFi Collateral & Composability	USDe and sUSDe are integrated across major DeFi protocols including Pendle, Aave, and Curve, used as collateral and yield-trading instruments	Live
Institutional Lending	A \$1B lending facility with FalconX (announced August 2026) channels USDe-backing assets into overcollateralized institutional loans	Live
Ethena Chain (Roadmap)	A dedicated blockchain using USDe as its native gas token, enabling financial applications built directly around the synthetic dollar	Roadmap
Institutional Custody & Integration	Partnerships with Coinbase, Anchorage Digital, and exposure via BlackRock's BUIDL fund (through USDtb) extend USDe into more traditional institutional finance channels	Live
Tokenized RWA Exposure	Ethena has diversified into tokenized real-world assets (~\$501M as of mid-2026 figures) alongside its core crypto-basis trading business	Live
ENA Governance & Fee Switch	ENA holders vote on protocol parameters; a fee switch that would route revenue to ENA/sENA stakers has met activation criteria since September 2025	Approved / Not Yet Activated

Ethena's use cases are unusually mature and independently verifiable for a protocol just over two years old: USDe's deep integration with Pendle, Aave, and Curve is checkable directly on-chain, and named institutional relationships (Coinbase, BlackRock via BUIDL, Anchorage Digital, and an August 2026 \$1B FalconX lending facility) represent real, substantive validation from established financial infrastructure players rather than informal or unconfirmed "partnership" claims of the kind seen with some smaller projects in this research series. Reaching third-largest stablecoin status by supply, even after the October 2025 contraction, is itself strong evidence of genuine, large-scale product-market fit.

The most consequential near-term item on this list is the fee switch: it has technically met Ethena's own governance-approved activation criteria since September 2025, but had not been formally turned on as of the most recent sources reviewed for this report. Multiple analyses (OAK Research) note this is not a simple on/off decision — activating it necessarily reduces the yield sUSDe holders receive (since captured revenue diverts from stakers to ENA buybacks), creating a real tension between rewarding ENA holders and keeping USDe/sUSDe competitive against alternatives like Sky's sUSDS. This is a genuinely unresolved, structurally significant governance question rather than a simple technical rollout, and its ultimate resolution will materially affect ENA's long-term value-capture story (see Section 07).

05 COMMUNITY & ECOSYSTEM

Metric	Data
Social Channels	X (Twitter), Telegram, Discord
Peak Scale	USDe supply peaked above \$14–14.7B in 2025, making it crypto's third-largest dollar-denominated stablecoin behind only USDT and USDC
Current Scale	USDe supply of roughly \$4.3–\$6.5B as of mid-2026 reporting, following the October 2025 contraction
Cumulative Protocol Revenue	Over \$500M cumulative revenue generated (per Tokenomics.com analysis), with an annualized run-rate that exceeded \$1B by late 2024 at peak
Institutional Integration	Coinbase, BlackRock (via BUIDL/USDtb), Janus Henderson, Anchorage Digital, and Binance integration reaching a cited 280M+ user base
DeFi Integration Depth	Deep integration with Pendle, Aave, and Curve Finance, among other major protocols, creating meaningful network effects across DeFi
Market Rank	#50 (in-app Overview) / #52 (in-app Markets/Team pages) — minor internal inconsistency reflecting different snapshot times

Ethena's ecosystem strength is among the most independently verifiable in this research series: USDe's stablecoin-market-cap ranking is tracked continuously by neutral, third-party sources (CoinMarketCap, CoinGecko, DeFiLlama), and its DeFi integrations (Pendle, Aave, Curve) are checkable directly on-chain rather than resting on the project's own claims. The scale of institutional relationships — exposure to BlackRock's tokenized fund infrastructure, direct integration with Coinbase and Anchorage Digital, and a large, named lending facility with FalconX — places Ethena in a genuinely different institutional-credibility tier than most of the smaller, earlier-stage projects covered elsewhere in this series.

The October 2025 contraction is the essential counterweight to this strength and should be read as a real, material stress test rather than dismissed as noise: USDe's supply fell by more than half from its peak, and \$8.3B in net redemptions over a matter of months represents a very large share of holders choosing to exit following the depeg event. That said, the fact that USDe stabilized at a still-substantial \$4.3–\$6.5B rather than collapsing toward zero (the pattern seen in failed algorithmic stablecoins like Terra's UST) is itself a meaningful signal — a genuine flight to safety among some holders, but not a loss of confidence in the underlying peg mechanism or a run that broke the system.

06 INVESTORS & PARTNERSHIPS

Funding Rounds

Round	Date	Amount	Valuation	Lead / Notable Participants
Combined Seed / Strategic	2023–2024	\$166.50M	\$300.00M	Dragonfly (Lead), with Coinbase Ventures, Polychain Capital, Pantera Capital, YZi Labs, Galaxy, and angel investor Cobie (Jordan Fish)

Investor Roster

Tier	Investor	Type
Tier 1	Dragonfly (Lead)	Venture
Tier 1	Coinbase Ventures	Venture
Tier 1	Polychain Capital	Venture
Tier 1	Pantera Capital	Venture
Tier 1	YZi Labs (formerly Binance Labs)	Incubator
Tier 1	Galaxy	Venture
Tier 1	Cobie (Jordan Fish)	Angel Investor
Tier 2	GSR / OKX Ventures / Hashed / Delphi Ventures	Venture
Tier 2	CMT Digital / Mirana Ventures / Castle Island Ventures	Venture
Tier 2	Wintermute / Nascent / MEXC Ventures	Venture

Ethena's investor roster is one of the strongest and most diversified in this research series: \$166.5M raised at a \$300M valuation with Dragonfly leading, alongside Coinbase Ventures, Polychain Capital, and Pantera Capital — four of crypto's most established, long-tenured investment firms — is a rare combination of scale and quality. The presence of major market makers (GSR, Wintermute, Mirana) as investors is also notable and specifically relevant to Ethena's business model, since Ethena's hedging strategy depends on deep, liquid perpetual futures markets that these same firms help provide.

Wintermute's role extends beyond investment into active governance participation: it was Wintermute that authored the November 2024 governance proposal explicitly identifying the “disconnect between sENA holders and the growth of the protocol” and proposing the fee-sharing mechanism that became the fee switch discussed in Section 04 and Section 07 — an unusually direct, hands-on level of investor involvement in shaping core tokenomics rather than passive capital backing. Combined with named institutional partnerships (BlackRock via BUIDL, Coinbase, Anchorage Digital, Janus Henderson, FalconX), Ethena's investor and partnership network reflects genuine, multi-layered validation from both crypto-native and increasingly traditional-finance counterparties.

07 TOKENOMICS

Parameter	Detail
Total Supply	15,000,000,000 ENA (fixed)
Max Supply	15,000,000,000 ENA
Circulating Supply	9.82B ENA (~65.5%) as of the in-app snapshot reviewed
TGE Date	April 2024
Fee Switch Status	Governance-approved framework; Risk Committee-defined activation criteria were confirmed met by the Ethena Foundation on September 15, 2025, but formal activation had not occurred as of the most recent sources reviewed
sENA Staking	ENA holders stake into sENA; once the fee switch activates, sENA stakers would receive a share of protocol revenue via token buybacks, with cited potential yields in the 4.5–15% range depending on revenue conditions
DAT Buyback Program	A separately cited \$890M buyback program aimed at repurchasing ENA from secondary markets to reduce supply and support price, distinct from the fee-switch mechanism itself

Category	%	Tokens	Notes
Team/Advisors/Contractors	30.00%	4.500B	The largest single allocation, reflecting Ethena's team-heavy distribution relative to several other protocols
Private Sale Investor	25.00%	3.750B	Corresponds to the \$166.5M raised across Ethena's investor rounds
Ecosystem Incentives	17.50%	2.625B	Funds ongoing ecosystem growth, liquidity incentives, and integrations
Foundation	15.00%	2.250B	Ethena Foundation allocation, which also administers governance decisions including the fee switch
Airdrops/Bounty	12.50%	1.875B	Community distribution, including Ethena's initial airdrop campaigns

ENA's allocation is notably team-and-investor-weighted relative to several other protocols in this research series: the combined Team/Advisors/Contractors (30%) and Private Sale Investor (25%) tranches total 55% of total supply, a meaningfully higher insider concentration than the more community-weighted distributions seen at, for example, Curve Finance or Wormhole. This is not unusual for a protocol that required substantial up-front capital and specialized expertise to build (Ethena's hedging infrastructure is genuinely complex, requiring deep relationships with derivatives exchanges and custodians), but it does mean a larger share of ENA's long-term value accrual is contractually tied to early backers and team members rather than the broader community.

The fee switch is the single most important open tokenomics question for ENA specifically. As OAK Research's detailed modeling notes, the mechanism faces a structural tension: any revenue diverted to fund ENA buybacks necessarily reduces the yield sUSDe holders receive, directly weakening USDe/sUSDe's competitiveness against alternatives like Sky's sUSDS at precisely the moments (declining protocol revenue) when ENA holders might most want buyback support activated. An intermittent, start-stop buyback program tied to fluctuating funding-rate revenue could plausibly be worse for ENA's price stability than no buyback mechanism at all, according to this analysis — meaning the fee switch's design details, once finally activated, matter considerably more than the simple fact of activation itself.

08 MARKET OVERVIEW

Metric	Data
Price (24h range)	\$0.1373 – \$0.1526 (in-app)
Market Cap	\$1.34B (in-app, circulating) / \$1.35B (in-app, unlocked)
Fully Diluted Valuation	\$2.06B (in-app) / roughly \$796.4M cited in an earlier (mid-2026) CoinStats snapshot — substantial variance across sources and dates reflecting ENA's price volatility over the period
24h Volume	\$470.43M (in-app)
All-Time High	\$1.516 (in-app) / \$1.43 (CoinStats), reached December 2024
All-Time Low	\$0.07023 (in-app)
Market Rank	#50 (in-app Overview) / #52 (in-app Markets/Team pages)
Notable Listings	Binance, Coinbase, Upbit, OKX, Bybit, Bitget, Gate, MEXC

ENA's price history closely tracks the broader USDe growth-and-contraction story documented throughout this report: a rapid rise to an all-time high near \$1.43–\$1.52 in December 2024, coinciding with USDe's explosive early growth and intense market enthusiasm for the synthetic-dollar yield narrative, followed by a sustained decline that steepened sharply around the October 2025 depeg event. At the data-as-of price near \$0.14–\$0.15, ENA trades roughly 89–94% below its all-time high — one CoinStats snapshot from August 2026 specifically cited a price of \$0.0806, down 94% from ATH, though the in-app data reviewed for this report shows a meaningfully higher current price, illustrating real volatility (and potentially some recovery) between those two snapshot dates.

One data point worth highlighting for calibration: independent 2026 valuation analysis (CoinStats) modeled ENA's upside scenarios against historical comparables, noting that MakerDAO/Sky has historically commanded peak valuations around \$8B due to its role in decentralized stablecoin governance, and that a re-rating of ENA toward that kind of valuation tier would require USDe becoming a genuinely default on-chain dollar instrument for trading, lending, and treasury use cases — not simply narrative momentum. That analysis frames ENA as currently sitting in an “early phase” of speculative, incentive-driven growth rather than the more mature “maturity phase” where valuation would depend on sustained trust and yield competitiveness — a useful framework for understanding where ENA's price recovery, if any, would need to be earned rather than assumed.

09

COMPETITORS & MARKET POSITION

Project	Type / Focus	Scale	vs. Ethena
Tether (USDT) / Circle (USDC)	Fiat-backed stablecoins with cash and Treasury-bill reserves	Dominant incumbents; USDT alone exceeds \$100B+ supply	The category leaders by scale and trust, but structurally unable to legally pay yield to holders under frameworks like the U.S. GENIUS Act; USDe's yield-bearing design falls outside that specific restriction since it isn't classified as a payment stablecoin
Sky (formerly MakerDAO) / DAI, USDS, sUSDS	Crypto-overcollateralized CDP-backed stablecoin, pioneered the category in 2017	One of DeFi's most established protocols; historically valued near \$8B at peak	Sky's sUSDS is Ethena's most direct competitive benchmark for yield-bearing on-chain dollars; independent modeling (OAK Research) explicitly uses sUSDS as the competitiveness bar sUSDe's yield must clear
Frax Finance (FRAX)	Hybrid algorithmic/collateralized stablecoin with veFXS governance	Smaller than Ethena; established multi-year track record	Distributes revenue to veFXS stakers in a structurally similar model to ENA's proposed fee switch, making it a useful governance-design comparison
Ondo Finance / Tokenized Treasuries (BUIDL, USDY)	Yield from real-world Treasury exposure rather than crypto-derivatives basis trades	Growing rapidly, institutionally focused	A fundamentally lower-risk, lower-yield alternative source of on-chain dollar yield; competes for the same institutional capital increasingly interested in tokenized cash-equivalent products
Liquity (LUSD)	Maximum-decentralization approach, pure ETH-backed, minimal governance	Small, niche	Represents the opposite design philosophy from Ethena — simplicity and decentralization over yield and complexity

Ethena occupies a genuinely distinctive position in the stablecoin landscape: it is the clearest example of what industry analysis (Multicoin Capital) calls a “synthetic dollar” — a category distinct from both fiat-backed dollars (USDT, USDC) and crypto-collateralized dollars (DAI/USDS) — and it achieved genuine scale in that category faster than any prior stablecoin. Its most direct, apples-to-apples competitor is Sky's sUSDS, which independent yield-competitiveness modeling treats as the benchmark Ethena's own yield must clear to retain deposits; Sky's longer operating history (since 2017) and larger historical peak valuation (~\$8B) represent a meaningful scale and trust gap Ethena would need to close for ENA to re-rate toward comparable levels.

A distinctive regulatory dynamic shapes Ethena's competitive position specifically: the U.S. GENIUS Act prohibits licensed payment stablecoin issuers (a category that constrained USDC specifically) from paying yield directly to holders, but USDe's synthetic-dollar structure does not meet the legal definition of a payment stablecoin, meaning this restriction does not apply to it — a genuine, if legally contested, structural advantage that lets Ethena offer yield where USDT and USDC currently cannot. This is precisely the kind of regulatory gray area that has already drawn scrutiny (Germany's BaFin action), and other jurisdictions clarifying their own stance on synthetic, yield-bearing dollar instruments represents the single largest external variable that could reshape Ethena's competitive position going forward, for better or worse.

10 RECENT NEWS & UPDATES

Date	Event
2023	Ethena founded by Guy Young; early backing from Arthur Hayes's Maelstrom family office
Feb 2024	USDe launches on Ethereum mainnet; crosses \$1B in supply within 10 weeks, the fastest stablecoin growth on record at the time
Apr 2024	ENA Token Generation Event
Nov 6, 2024	Wintermute submits a governance proposal explicitly addressing the disconnect between sENA holders and protocol growth, laying groundwork for the fee switch
Dec 2024	ENA reaches its all-time high of approximately \$1.43–\$1.52, coinciding with USDe's peak growth phase
Late 2024	Ethena's annualized revenue run-rate exceeds \$1B at peak, from the funding-rate spread on its delta-neutral positions
Feb 2025	The Bybit exchange hack tests Ethena's off-exchange settlement design; Ethena's collateral, held with institutional custodians rather than on Bybit directly, remains secure despite the exchange's disruption
Apr 2025	Germany's BaFin orders Ethena GmbH to halt USDe sales, treating the product as an unregistered security under German law
Sep 15, 2025	The Ethena Foundation announces the protocol has met the governance-defined criteria for fee switch activation, though formal activation does not immediately follow
Oct 10–11, 2025	A market-wide flash crash triggers a sharp USDe depeg — to roughly \$0.97 per Ethena's own data, and as low as \$0.65 on Binance specifically; Ethena's short hedges profit as prices fall, and funding rates remain positive throughout, but the event exposes exchange-liquidity and venue-concentration risk
Late 2025	USDe supply and Ethena's TVL contract sharply following the depeg — TVL falls from \$14.3B to \$6.55B, and USDe sees approximately \$8.3B in net redemptions, with market cap falling from \$14.7B to near \$6.4B
Early-Mid 2026	Ethena diversifies USDe's reserve composition, shifting more heavily toward liquid stablecoins and reducing pure crypto-basis-trade exposure in response to the October stress test and regulatory pressure; strategic institutional partnerships expand (Coinbase, Anchorage Digital, Janus Henderson)
Jun 2026	Forbes coverage confirms USDe's yield-paying structure legally sidesteps the GENIUS Act's yield ban on payment stablecoins, given USDe's synthetic-dollar (not payment-stablecoin) classification
Aug 2026	FalconX \$1B institutional lending facility announced, channeling USDe-backing assets into overcollateralized loans; USDe supply stabilizes around \$4.3–\$6B per DeFiLlama tracking

Ethena's timeline shows a protocol that has genuinely been tested by real market stress rather than remaining untested theory — both the February 2025 Bybit hack and the October 2025 flash crash represent real, independently documented stress events, and in both cases the core USDe mechanism held: no exploit occurred, collateral remained secure through custodial diversification, and Ethena's short hedges functioned as designed (profiting during the crash rather than amplifying losses). This is meaningfully different from, and more reassuring than, an untested protocol whose risk model exists only on paper.

At the same time, the scale of the October 2025 aftermath — TVL more than halving, \$8.3B in net redemptions — should not be minimized: it demonstrates that even a well-designed synthetic dollar experiences real, large-scale confidence erosion following a visible depeg event, regardless of whether the underlying mechanism technically performed as intended. The German BaFin action remains, as of the sources reviewed, an unresolved regulatory matter specific to one jurisdiction rather than a global restriction, but it is a real, documented instance of a national regulator classifying USDe as an unregistered security — a precedent other regulators could plausibly follow. No smart contract exploit or protocol-level security incident (as

distinct from these market-structure and regulatory events) was identified in the sources reviewed.

11

INVESTMENT POTENTIAL & RISKS

▲ BULL CASE

- A genuinely novel, independently stress-tested synthetic-dollar mechanism that has now survived two real market crises (the Feb 2025 Bybit hack and the Oct 2025 flash crash) without an exploit or the kind of self-reinforcing collapse that destroyed algorithmic stablecoins like Terra's UST.
- Reached third-largest stablecoin status by supply within roughly 18 months of launch — among the fastest, largest-scale product-market-fit demonstrations of any protocol in this research series.
- An exceptionally strong, diversified investor base (Dragonfly, Coinbase Ventures, Polychain, Pantera) and growing institutional integration (BlackRock via BUIDL, Coinbase, Anchorage Digital, a \$1B FalconX facility).
- A credentialed, legally sophisticated team (a TradFi-background founder, a named General Counsel from early on) that has navigated real regulatory action (Germany's BaFin) without abandoning the core product.
- A currently favorable regulatory positioning versus fiat-backed competitors: USDe's synthetic-dollar classification lets it pay yield where USDT/USDC legally cannot under frameworks like the GENIUS Act.

▼ BEAR CASE

- USDe experienced a real, documented depeg (to \$0.65 on at least one major exchange) during the October 2025 flash crash, and TVL/supply more than halved in the aftermath — a severe, real-world confidence test, not a hypothetical risk.
- ENA trades roughly 89–94% below its December 2024 all-time high, with meaningful, unresolved cross-source variance in exactly how far it has declined.
- Direct regulatory action has already occurred: Germany's BaFin ordered a halt to USDe sales by Ethena GmbH in April 2025, treating it as an unregistered security — a precedent other jurisdictions could follow.
- The fee switch, ENA's primary path to direct value capture, has met activation criteria since September 2025 without formal activation, and independent modeling suggests its ultimate design could be structurally harmful to ENA if implemented poorly (an intermittent buyback tied to volatile revenue).
- Team/Investor allocations (55% combined) represent a higher insider concentration than several other protocols in this research series, meaning a larger share of long-term value accrual is tied to early backers.
- The core yield mechanism depends structurally on sustained positive funding rates; Ethena's own data shows 17.5% of days have carried negative summed funding historically, and a sufficiently prolonged negative-funding period coinciding with a market-wide deleveraging event remains a plausible, not merely theoretical, systemic risk.

Risk Factor Detail

Risk	Detailed Explanation
Funding Rate / Systemic Risk	USDe's yield and, in stressed scenarios, its peg stability depend on funding rates remaining net positive over time; a sustained negative-funding window coinciding with a broad deleveraging event is the specific systemic risk scenario Ethena's own risk documentation and independent analysts flag as most dangerous, distinct from a smart contract failure.
Exchange / Custodial Concentration Risk	The October 2025 depeg specifically exposed reliance on individual exchange price discovery and liquidity during extreme volatility; while collateral custody held securely, the incident demonstrated that hedge-execution venues remain a real point of fragility.
Unresolved Regulatory Classification	Germany's BaFin action against Ethena GmbH is a live, documented instance of a national regulator treating USDe as an unregistered security; broader regulatory clarity (or further adverse action in other jurisdictions) remains a significant, unresolved variable.

Risk	Detailed Explanation
Fee Switch Design Risk	Independent modeling suggests a poorly calibrated fee switch could create an intermittent, unpredictable buyback program that harms ENA more than having no buyback mechanism at all, given the direct tradeoff between sUSDe yield competitiveness and ENA value capture.
Post-Depeg Confidence & Redemption Risk	The scale of redemptions following October 2025 (\$8.3B, TVL more than halved) demonstrates that large holder bases can and will exit rapidly following a visible stress event, even when the underlying mechanism performs as designed — a real behavioral/liquidity risk distinct from technical failure.
Insider-Concentrated Token Distribution	The 55% combined Team/Investor allocation is higher than several peer protocols, concentrating a larger share of long-term ENA value accrual among early stakeholders relative to the broader community.

NBZ RESEARCH VERDICT

Ethena is, on the whole, one of the more fundamentally substantiated and independently verifiable protocols covered in this research series: a genuinely novel synthetic-dollar mechanism that achieved real, unprecedented scale (third-largest stablecoin globally) and has now survived two documented, real-world stress events without a core-mechanism failure or exploit. That combination of scale, technical novelty, and demonstrated (if imperfect) resilience under pressure makes ENA worth serious attention as one of the more consequential DeFi infrastructure bets available. It is, however, also one of the more legitimately risk-laden holdings in this series precisely because its risks are real and already partially realized rather than purely theoretical: the October 2025 depeg and subsequent halving of TVL is a genuine, material event investors should weigh heavily, not a historical footnote, and the unresolved German regulatory action represents live legal uncertainty rather than a settled matter. What would make this materially more convincingly bullish: a well-calibrated, sustainably designed fee switch activation that avoids the intermittent-buyback pitfall independent analysts have flagged; continued USDe supply recovery and diversified, multi-venue hedge execution reducing the specific fragility exposed in October 2025; and regulatory clarity (rather than further adverse action) in major jurisdictions. The most critical risks are the structural dependency on positive funding rates during systemic stress, the unresolved regulatory classification question, and the fee switch's design uncertainty. Positioning: appropriate for a thesis specifically about synthetic-dollar yield infrastructure maturing into a durable, trusted category — sized with the clear understanding that ENA's core product has already experienced a real depeg and a severe, large-scale redemption wave, not merely a hypothetical risk scenario described in a whitepaper.

Sources Consulted: Ethena's official documentation (docs.ethena.fi) and website (ethena.fi); in-app market data screenshots provided by the user (Aug 2026 snapshot); CoinMarketCap (including CMC AI), CoinStats AI (Fundamental Analysis and Price Potential reports), and Tokenomics.com for market and tokenomics data; Eco (support articles on USDe/sUSDe mechanics), Nansen, Medium (Jung-Hua Liu), CryptoSlate, and Yellow.com for technical architecture detail; CoinMetrics (State of the Network), Netcoins, ChainArgos, HTX Insights, and Forbes for October 2025 depeg coverage and regulatory analysis; MEXC News for TVL/redemption data; OAK Research, Cointelegraph (via TradingView), and Bybit Wiki for fee switch and governance detail; Multicoin Capital and LBank for founding-team and category background; Bitcoin Noobs for competitive-landscape context (Sky/MakerDAO, Frax, Liquity).

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